

downward. This is an arbitrary distinction I made just to see if the two chart patterns act differently. In answer to the question you have probably posed right now: Yes, the two formations have slightly different performance (but both are yucky).

A brief review of the Results Snapshot shows the performance rank is midrange. The rank is based on how far price moves after the breakout compared to other chart pattern types.

The breakeven failure rate for downward breakouts in bear markets is terrific, just 9%, but that ranks the pattern at 11 out of 19 (not shown). As small as the failure rate seems compared to the others shown in the table, it's still a mid-list performer.

The average rise varies from 25% in bear markets, where the general market is trying to drown price, and 42% in bull markets, where the market trend tugs on the stock like a helium balloon. The average decline is 13% in bull markets, which compares to a 22% drop in bear markets. This time, bear markets are pulling price downward, hence the larger average drop than in bull markets.

Tour

Broadening patterns come in a variety of styles and names. There are the broadening tops and bottoms, right-angled ascending and descending, expanding triangle, orthodox broadening top, and five-point reversal. The last three—expanding triangle, orthodox broadening top, and five-point reversal—are synonyms for the broadening top, with the last two being based on five turning points.